

Colville Investment Award

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A high-conviction overweight play on Safran, to benefit from industrial excellence, cash generation and overall re-rating.

Unless specified otherwise, all data is from Bloomberg, and as of the 6th May 2026. This presentation does not constitute investment advice. The author may or may not hold positions in Safran and reserves the right to change these positions at any moment.

Executive Summary & Investment Thesis

Safran at a glance

Safran was founded in 2005, with the merger of Snecma and Sagem, bringing together decades of expertise in aircraft engines and defense electronics.

Safran is a global manufacturer of avionics, particularly of narrow-body engines (CFM56 and LEAP programs). It is also active in the defense sector (rafale engines, missile propulsion, guidance systems and avionics...), and in the aircraft interiors market.

Profits are driven mostly by maintenance services on the engines (repairs and spare parts).

Safran is expected to generate over €4.5B in free cashflows for 2026, supporting both R&D, new investments, high dividends, and share buybacks.

Investment thesis – Why I believe that Safran is a Buy

Propulsion maintenance and Aftermarket dominance

Safran’s newly installed base of LEAP engines is entering its first major shop-visit cycle, which will trigger a structural step-up in high-margin recurring revenue, that the market has yet to fully price in. **In Q1 2026, maintenance services revenue was up 43% organic.**

Long term operational visibility

With a record backlog for the LEAP engine stretching into the next decade, production ramp-up is now mostly de-risked. In addition to the long-term maintenance contracts for CFM and LEAP engines, Safran has **an exceptional visibility on revenues.**

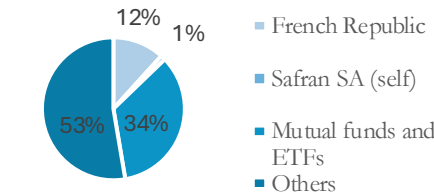
Financial discipline and high shareholder returns

Safran has transitioned into a **"Cash Machine"** phase, utilizing its net cash position to drive accretive share buybacks and a disciplined ~40% dividend payout without compromising R&D or strategic M&A capacity. Safran has no net debt.

Decarbonization leadership: a strategic moat

By leading the development of the RISE open-fan architecture, Safran is the primary gatekeeper of next-generation fuel efficiency, effectively protecting its **long-term moat** against evolving environmental regulations. **R&D spending stands at roughly 5% of turnover.**

Shareholders breakdown

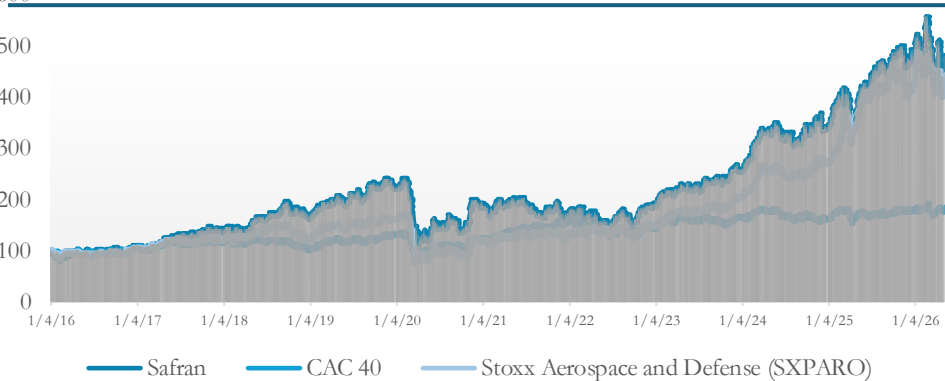


Key data

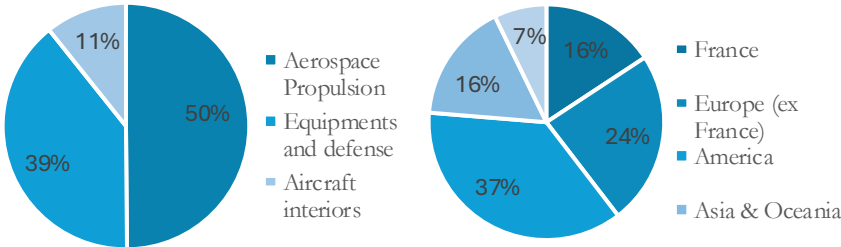
Share price	296,70 €
Market cap	€124,9B
FY2025 Turnover	€31.3B
T1 2026 Turnover	€8,62B (+18.8%)
Operational margins	X%
Free cashflows (2025)	€3,9B
Dividend per share	3,35 €
ROCE	27%

FY 2025 data, as of 06/05/2026

Share price vs. benchmark



Revenue breakdown by operating segment and geography



My recommendation : **Overweight**

Price target : **€321,33**

(an 8,30% upside)

Business model overview – operational leverage across all divisions

Aerospace Propulsion (50% of revenue)

Structural Profitability via the Razor-Blade Model

Safran's core value is driven by its 50/50 CFM International joint venture with GE. While the market currently assigns GE a higher P/E ratio, Safran's "razor-blade" model (selling engines at cost to secure 20+ years of high-margin recurring services) provides a superior long-term cash flow profile.

The CFM56 & LEAP "Double Effect"

The legacy CFM56 fleet remains a profit powerhouse; aging engines and record-low retirement rates are driving an unprecedented surge in high-margin maintenance demand. Simultaneously, the LEAP program is entering an aggressive ramp-up phase (520 deliveries in Q1 2026, +63%), with margins set to expand exponentially as these newer engines enter their first major shop-visit cycles.

Unrivalled Revenue Visibility

Legal flight safety requirements ensure a captive market for Safran's maintenance services. With ironclad contracts covering the vast majority of its global fleet, Safran benefits from a "locked-in" revenue stream that offers clear visibility and margin expansion for the next decade.

Equipments and Defence (39% of revenue)

Critical systems for the two main narrow-body platforms

Safran is a key partner for the Airbus A320neo and Boeing 737 MAX programs, providing landing systems and wiring, ensuring a resilient revenue stream as both Airbus and Boeing have significant backlog themselves.

Accelerating defence production in a rearming world

Missile propulsion production is projected to quadruple by 2030, while the M88 engine program for the Rafale fighter jet provides high-margin, long-term financial visibility, fueled by a record export backlog.

Strategic independence and diversification

Unlike commercial aviation, the Defence segment is governed by national sovereignty and multi-year government budgets rather than air traffic cycles. This decoupling provides a high-margin strategic hedge, particularly for periods of commercial aerospace volatility.

Aircraft interiors (11% of revenue)

The Premium Seating Super-Cycle

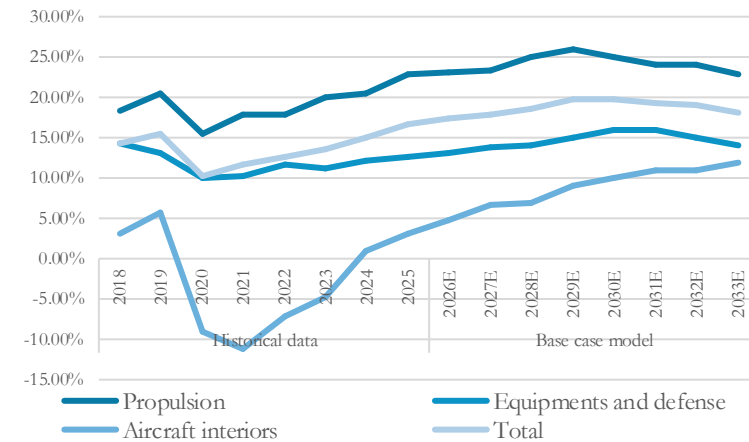
Airlines are aggressively retrofitting cabins with premium seating, to capture high-yield business and luxury travel demand. As a market leader, Safran is the primary beneficiary of this global fleet overhaul and cabin modernization trend.

Pricing Power in a Supply-Constrained Market

Structural supply chain imbalances have shifted the advantage to manufacturers. Safran can secure favorable contract terms, increasing the division's margins.

➔ Operating Income for this division is projected to grow 48% in 2026 and 50% in 2027.

Operating margins projections



Group margins are reaching a structural inflection point.

I expect Propulsion margins to peak at 25% behind the LEAP service cycle, while Equipment & Defence scales alongside global re-armament.

Simultaneously, Aircraft Interiors is projected to see a sustained recovery toward 11% as premium retrofits accelerate.

Details are in Appendix 3.

Competition overview



GE Aerospace

Safran's strategic 50/50 partner in the CFM joint venture for narrow-body engines, but a competitor on the wide-body market



RTX

RTX (Pratt and Whitney) is Safran's primary rival on the narrow-body market.



Rolls-Royce

A competitor for wide-body aircraft engines and defence propulsion.



A competitor on the engine maintenance contracts, as well as some military engines.

THALES

A competitor on the defence and avionics sectors, mostly on electronic components.

Strategic Moats: ESG Leadership, Management & Sovereignty

Management team

Safran's CEO is Olivier Andries, a Polytechnique / Mines Engineer with more than 15 years at Safran, including 5 as CEO.



Overall, management is perfectly able to keep up with the excellent operational and financial performance of the company. They are often very conservative with their guidance.

The successful Zodiac integration proved their capacity to generate shareholder value.

Sovereignty and strategic resilience

A Strategic National Champion

The French State's 11.2% equity stake and 18.2% voting rights provide a robust shield against hostile takeovers. This unique shareholder structure ensures long-term operational stability and aligns Safran's interests with European strategic autonomy, creating a high barrier to entry for foreign competitors.

Defense as a Counter-Cyclical Buffer

The record-breaking export success of the Rafale fighter jet secures decades of high-margin revenue through the M88 engine program. This defense backlog acts as a critical financial hedge, providing stable, long-term cash flows that are entirely decoupled from the volatility of commercial air traffic cycles. However, it does increase the sensibility of Safran's revenue to political decisions

ESG ratings and strategy

Safran is recognized under SFDR for actively promoting environmental characteristics, making it a suitable investment for Article-8 funds as a best-in-class company.

Safran's "Net-Zero 2050" roadmap transforms environmental risk into a competitive edge, utilizing aggressive R&D to secure its long-term license to operate, and protect terminal value against future carbon regulations in addition to increasing the moat for potential competitors.

ESG ratings :	
CDP	A-
MSCI	A-
Sustainalytics	26,93

Environment – Decarbonation through innovation

Innovation Leadership: High R&D intensity (~5% of revenue) secures Safran's position as the primary partner for next-generation narrow-body platforms.

The RISE Program: 75% of R&T spending is dedicated to decarbonization. The Open Fan architecture targets a 20% reduction in CO2 emissions, future-proofing Safran's "license to operate."

SAF Transition: Leading the industry by ensuring 100% Sustainable Aviation Fuel (SAF) compatibility for current and future engine generations, mitigating long-term regulatory and carbon-tax risks.

Social

Safety Excellence: Best-in-class operational safety, with a Lost Time Injury Frequency (LTIF) of only 1.9 per million hours worked in 2024.

Strategic Talent Base: Continuous investment in high-end engineering talent, to ensure technological sovereignty and long-term innovation leadership.

Leadership diversity: Safran is making measurable progress in gender representation, with women occupying 24% of senior executive positions in 2025 (up from 19.5% in 2023). This trend reflects a broader commitment to modernizing the group's leadership and attracting top-tier engineering talent to sustain its technological edge.

Governance

Management Track Record: Proven ability to manage complex industrial ramp-ups and successfully integrate large-scale acquisitions (Zodiac).

Shareholder Alignment: Clear framework balancing intensive R&D reinvestment with a disciplined 40% dividend payout and accretive share buybacks. 8 out of 12 directors are independant, ensuring rigorous oversight and alignment with minority shareholder interests.

These moats de-risk long term value creation and justify a lower risk premium, that could support a valuation re-rating for shareholders.

Financial projections and valuation

Business model – Base case projections

In M €	2025	2026E	2027E	2028E	2029E	2030E	3031E	2032E	2033E
Total revenue	31329	35589	39860	44244	48669	52562	55716	57945	59393
Organic growth	14,80%	13,60%	12,00%	11,00%	10,00%	8,00%	6,00%	4,00%	2,50%
Operating Income	5197	6162	7107	8256	9627	10397	10809	11021	10845
Ebit margin (%)	16,59%	17,31%	17,83%	18,66%	19,78%	19,78%	19,40%	19,02%	18,26%
Net Income	7177	3971	5205	6067	7132	7798	8107	8266	8134
% margin	22,91%	11,16%	13,06%	13,71%	14,66%	14,84%	14,55%	14,27%	13,70%
FCF	3921	4563	5206	6056	7061	7666	7967	8121	7985

In my base case, Safran’s growth in the coming years will increase by low-double digits, before slowing down to a long-term average of 2.5%. Margins projections are the same as in Appendix 3.

Cf Appendix 2 for more details about base case hypothesis.

DCF analysis

Base case : **284,23€**

Bear case : 106,8€

Bull case : 369,48

Details in Appendix 5

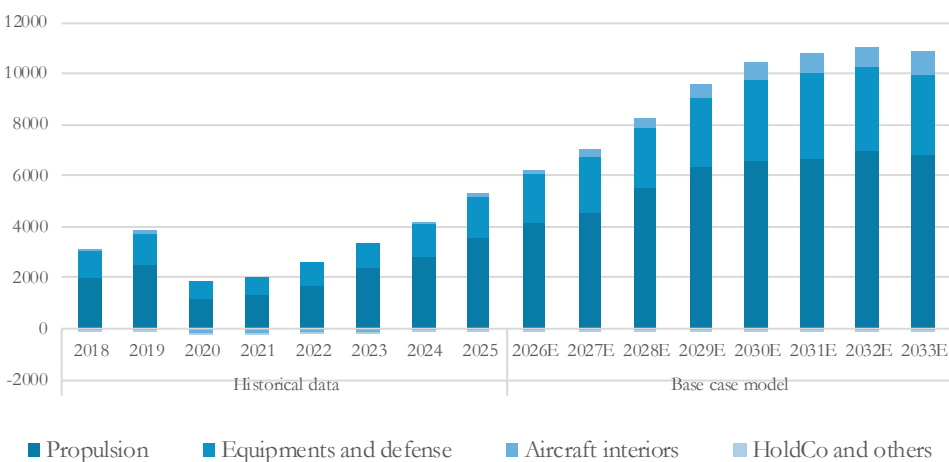
The DCF confirms Safran is fairly valued on visible mid-term cash flows, providing a strong fundamental floor. This remains a conservative baseline that excludes the full upside of the Interiors turnaround and the long-term RISE program terminal value.

The 10% rally on May 6th shows the market beginning to price in high-end FY2026 guidance. While the immediate gap has closed, the DCF supports a target of €8.0bn FCF by 2033, justifying the current valuation.

Sensitivity analysis for the base case

WACC	Terminal growth rate				
	1,50%	2%	2,50%	3,00%	3,50%
7,00%	300,66	321,56	347,09	379,01	420,06
7,50%	275,22	292,04	312,21	336,87	367,70
7,99%	254,13	267,93	284,23	303,80	327,73
8,50%	235,39	246,76	260,03	275,72	294,54
9,00%	219,51	229,04	240,03	252,85	268,00

Operating income projections breakdown



Comparative analysis

Name	Current year est.		Next year est.	
	EV/EBITDA	PE ratio	EV/EBITDA	PE ratio
Safran SA	16,06	27,81	14,47	24,45
General Electric	26,32	33,19	23,30	33,19
RTX Corp	17,49	22,84	16,12	22,84
Rolls-Royce Holdings PLC	22,36	30,55	19,96	30,55
MTU Aero Engines AG	28,25	16,61	26,19	15,65
Thales SA	4,64	19,96	4,20	19,96
Median	19,17	25,94	17,22	23,64

	EV/Ebitda	PE ratio
High	605,89	372,24
Target	403,86	309,94
Low	218,20	178,29

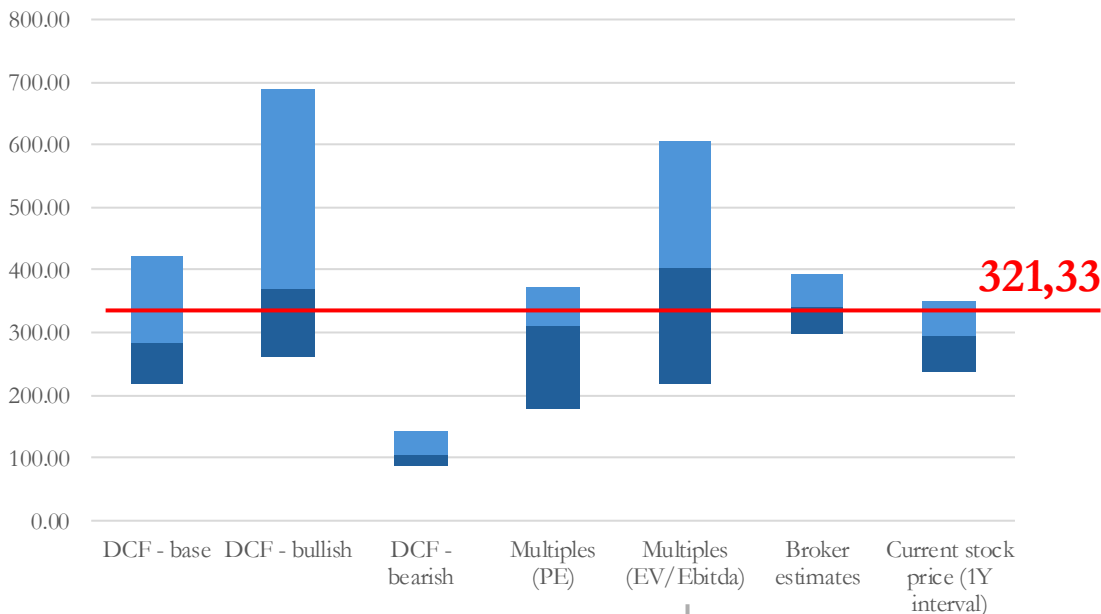
Safran currently trades at a discount compared to historical values, pure-play peers and defense actors. However, there is significant room for ratio expansion, as :

- The market shifts from short term supply chain stress to structural margin growth.
- The group’s dual exposure (civil and defense) justifies a shift towards more favorable defense sector multiples.
- The Aircraft Interiors divisions returns to double-digit profitability, lowering the conglomerate discount.

More details about the comparative analysis in Appendix 6.

Risk/reward profile and final recommendation

Valuation – Football field



Target price calculation

Method	Value	Weight
DCF - base	284,23	20%
DCF - bullish	369,48	5%
DCF - bearish	106,80	5%
Multiples (PE)	309,94	20%
Multiples (EV/Ebitda)	403,86	20%
Broker estimates	341,21	20%
Current stock price	296,70	10%
Final target price	321,33	100%

Cf Appendix 8 for more details

Broker estimates

Buy	6
Overweight	5
Neutral	8
Underweigh	0
Sell	0

Summary of target prices and upsides

High	395,00 €	32,11%
Mean	341,21 €	14,12%
Low	300,00 €	0,33%

I only consider estimates updated for the Q1 2026 results. Detail summary of each Broker estimate can be found in Appendix 7.

Risks

- Geopolitical Volatility:** Escalation in the Middle East could disrupt global air traffic and accelerate CFM56 retirements, potentially shortening the legacy "cash cow" tail.
- Raw Material Inflation:** Sustained price hikes in titanium and high-grade alloys (critical for engine components) may compress near-term margins if price escalations lag.
- Certification Bottlenecks:** Further delays in FAA/EASA seat certifications could postpone the recognition of high-margin Interiors revenue and strain delivery schedules.

Catalysts

- Guidance Upgrades:** Strong Q1/Q2 momentum suggests a potential upward revision of FY2026 guidance during the July results, as management is currently trending toward the high end of their range.
- Engine Service Surge:** A persistent global aircraft shortage is forcing airlines to fly older fleets longer, leading to higher-than-expected shop visit volumes and lucrative spare parts demand for the legacy CFM56.
- Defence Acceleration:** Increased European military budgets are accelerating orders for missile propulsion and high-precision guidance systems, providing a high-margin growth engine decoupled from civil aviation.

Final recommendation

Valuation Summary

As of May 6, 2026, Safran's recent 10% rally to €296 reflects growing market recognition of its operational momentum. Despite this re-rating, the stock remains undervalued relative to its long-term earnings power. I recommend an **Overweight rating**, with a **target price at 321,33€** viewing Safran as a **core foundational asset for institutional portfolios**.

Intrinsic & Relative Valuation

While the DCF suggests mid-term cash flows are increasingly efficiently priced, it remains conservative regarding the structural margin expansion in Interiors and the terminal value of the RISE program. Furthermore, comparative analysis indicates significant room for multiple expansion; current ratios do not yet fully reflect Safran's unique "sovereignty moat" and resilience against commercial cycles compared to historical peers (hence my belief that PE ratios could reach as high as 28 in 2027).

Conclusion

Safran offers a rare combination of industrial growth and defensive stability. Even at current levels, the risk/reward profile remains highly attractive, supported by a de-risked backlog, superior pricing power, and accelerating capital returns.

Thank you !

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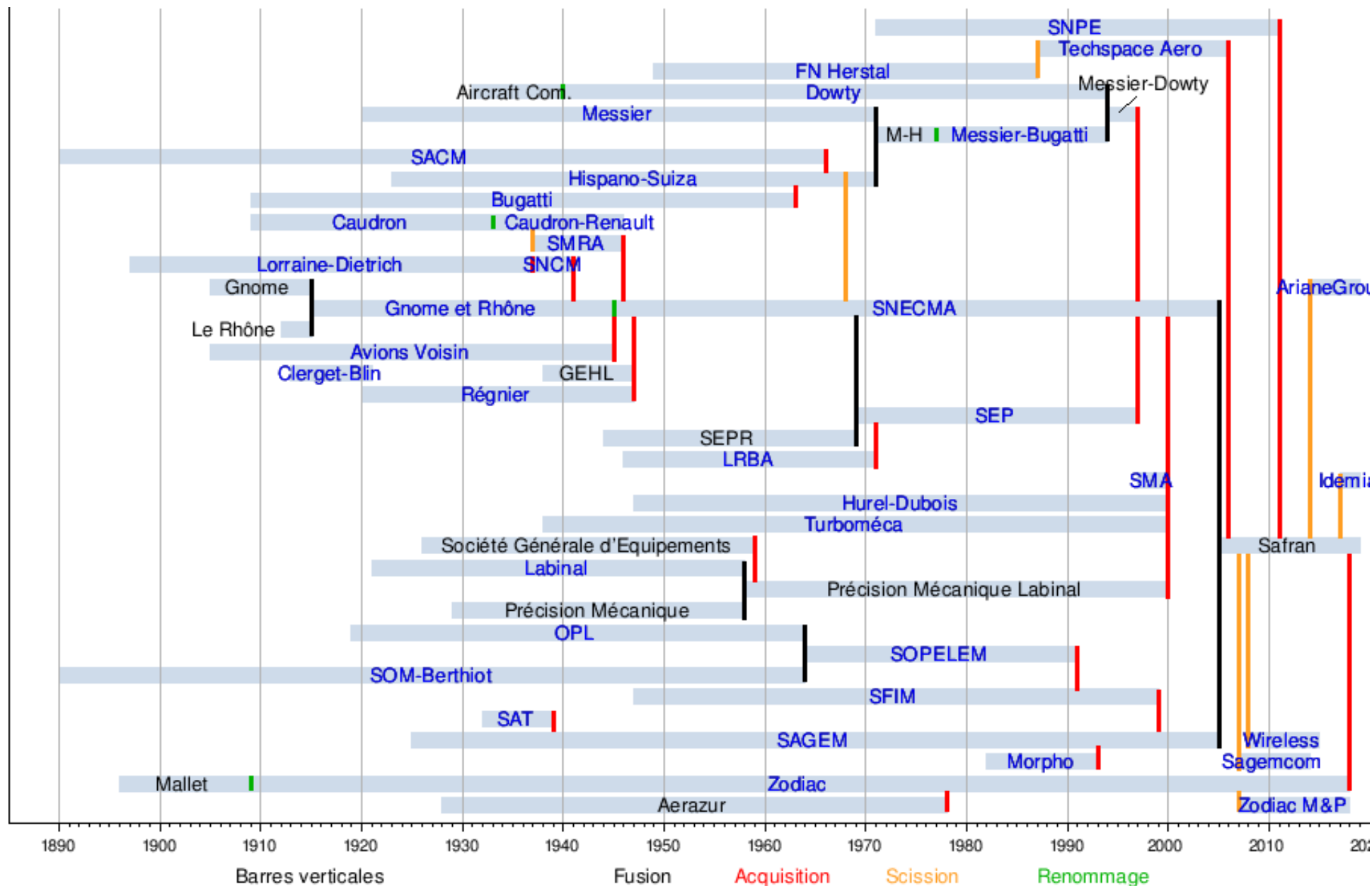
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Appendix

- Appendix 1 : Safran's historical roots
- Appendix 2 : Projective financial statements
- Appendix 3: Revenue and margin breakdown by operating segment
- Appendix 4: WACC calculation and EV to EqV bridge
- Appendix 5: DCF valuation details and sensitivity analysis
- Appendix 6: Comparative analysis details
- Appendix 7: Detailed broker estimates
- Appendix 8: Target price calculation details
- Appendix 9: Short-term share price graph

Appendix 1 : Safran's historical roots



Appendix 2 : Projective financial statements – Base case

In M €	Historical data										Modelling							Methodology for assumptions	
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	3031E	2032E	2033E			
Revenue																		I believe that the repartition between operating segments should trend towards 50/38/12, as aircraft interiors turnover should go up as airlines will focus more on premium cabins)	
Aerospace propulsion	10579	12045	7663	7394	9810	12222	13976	15633	17795	19930	22122	24334	26281	27858	28972	29697			
% revenue	50,3%	48,9%	46,4%	48,5%	51,5%	52,7%	51,2%	49,9%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%		
Equipments and defense	7942	9378	6933	6256	7700	8931	10689	12206	13880	15147	16813	18494	19974	21172	22019	22569			
% revenue	37,7%	38,1%	42,0%	41,0%	40,5%	38,5%	39,1%	39,0%	39,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%		
Aircraft interiors	2511	3332	1924	1465	1997	2487	3041	3340	3915	4783	5309	5840	6307	6686	6953	7127		We assume a mean of 10	
% revenue	11,9%	13,5%	11,7%	9,6%	10,5%	10,7%	11,1%	10,7%	11,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%		
Others (HoldCo)	18	18	20	18	16	11	10	10	10	10	10	10	10	10	10	10	10		
Total Revenue	21050	24640	16498	15257	19035	23199	27317	31329	35589	39860	44244	48669	52562	55716	57945	59393			
% growth		17,05%	-33,04%	-7,52%	24,76%	21,88%	17,75%	14,69%	13,60%	12,00%	11,00%	10,00%	8,00%	6,00%	4,00%	2,50%			
Cost of sales	16792	19231	13247	11810	15012	18600	21507	24314	27761	30859	33887	36730	39669	42261	44171	45727		I set a trajectory for Safran's growth to slow to a conservative 2,5% on long term	
% of revenue	79,77%	78,05%	80,29%	77,41%	78,87%	80,18%	78,73%	77,61%	78,00%	77,42%	76,59%	75,47%	75,47%	75,85%	76,23%	76,99%			
Adjusted EBITDA	4258	5409	3251	3447	4023	4599	5810	7015	7828	9000	10358	11938	12893	13455	13773	13666			
Depreciation and amortization	1235	1589	1565	1642	1615	1433	1691	1818	1666	1893	2102	2312	2497	2647	2752	2821			
As a % of Capex	95,74%	136,75%	197,35%	217,20%	183,73%	108,15%	109,52%	101,00%	83,43%	95,00%	95,00%	95,00%	95,00%	95,00%	95,00%	95,00%			
Adjusted operating income (EBIT)	3023	3820	1686	1805	2408	3166	4119	5197	6162	7107	8256	9627	10397	10809	11021	10845		Margins should go up in the next years and stabilize near 18%. Details about how I model margins are available in Appendix 3	
Operating margin	14,36%	15,50%	10,22%	11,83%	12,65%	13,65%	15,08%	16,59%	17,32%	17,83%	18,66%	19,78%	19,78%	19,40%	19,02%	18,26%			
Financial Income	476	363	357	596	5163	-1958	5051	-5961	-144	-100	-100	-50	0	0	0	0			
Tax	-638	-1012	-334	-412	-557	-724	-987	-1571	-1994	-1752	-2039	-2394	-2599	-2702	-2755	-2711			
Tax rate (%)	23,70%	27,00%	27,50%	34,40%	31,40%	25,60%	23,80%	24,67%	31,12%	25,00%	25,00%	25,00%	25,00%	25,00%	25,00%	25,00%			
Adjustments and non recurring items	-880	-506	-1357	-1946	-9473	2960	-8850	9512	-53	-50	-50	-50	0	0	0	0		Adjustments should go towards 0 in the model	
Ajusted Net Income	1981	2665	352	43	-2459	3444	-667	7177	3971	5205	6067	7132	7798	8107	8266	8134		D&A at roughly 95% of Capex if we exclude Covid period	
D&A	1235	1589	1565	1642	1615	1433	1691	1818	1666	1893	2102	2312	2497	2647	2752	2821			
Changes in fair value of currency and interest rate derivative:	316	-152	209	538	4207	-2161	4684	-5598	0	0	0	0	0	0	0	0			
Changes in working capial	-27	-897	-8	250	729	758	7	1071	810	0	0	0	0	0	0	0			
Other adjustments	-434	-60	-252	-37	-547	796	-982	1253	107	100	100	50	0	0	0	0			
Cash flows from operations	3071	3145	1866	2436	3545	4270	4733	5721	6554	7199	8269	9494	10294	10753	11018	10955		Stabilizing at 5% turnover	
Capital Expenditures	-1290	-1162	-793	-756	-879	-1325	-1544	-1800	-1997	-1993	-2212	-2433	-2628	-2786	-2897	-2970			
FCF	1781	1983	1073	1680	2666	2945	3189	3921	4563	5206	6056	7061	7666	7967	8121	7985			
Cash flows from investing	-3494	-1105	-799	-738	-1288	-1704	-1848	-3384	-1965	-200	-200	-200	-200	-200	-200	-200			
Cash flows from financing	-2158	-1740	68	-268	-815	-2576	-3073	-2005	-3270	5006	5856	6861	7466	7767	7921	7785			
Net change in cash	-2584	302	1115	1500	1440	-11	-162	275	1302	1657	0	0	0	0	0	0		Analysts assumptions for 2026 and 2027, and we assume that starting in 2028 Safran will give back most of the cash to shareholders through either dividends or share buybacks. (neutral cash position)	
Cash at the beginning of the period	4914	2330	2632	3747	5247	6687	6676	6514	6789	8091	9748	9748	9748	9748	9748	9748			
Cash at the end of the period	2330	2632	3747	5247	6687	6676	6514	6789	8091	9748	9748	9748	9748	9748	9748	9748			

Appendix 2 : Projective financial statements – Bearish case

In M €	Historical data							Modelling									Methodology for assumptions - Bearish case				
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E					
Revenue																		50/38/12 repartition between operating segments (historiquement stable but aircraft interiors going a bit up, as airlines will focus more on premium cabins)			
Aerospace propulsion	10579	12045	7663	7394	9810	12222	13976	15633	17701	19471	20639	21671	22538	23214	23678	24034					
% revenue	50,3%	48,9%	46,4%	48,5%	51,5%	52,7%	51,2%	49,9%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%					
Equipments and defense	7942	9378	6933	6256	7700	8931	10689	12206	13807	14798	15686	16470	17129	17643	17996	18266					
% revenue	37,7%	38,1%	42,0%	41,0%	40,5%	38,5%	39,1%	39,0%	39,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%					
Aircraft interiors	2511	3332	1924	1465	1997	2487	3041	3340	3894	4673	4953	5201	5409	5571	5683	5768	We assume a mean of 10				
% revenue	11,9%	13,5%	11,7%	9,6%	10,5%	10,7%	11,1%	10,7%	11,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%					
Others (HoldCo)	18	18	20	18	16	11	10	10	10	10	10	10	10	10	10	10					
Total Revenue	21050	24640	16498	15257	19035	23199	27317	31329	35402	38942	41278	43342	45076	46428	47357	48067					
% growth		17,05%	-33,04%	-7,52%	24,76%	21,88%	17,75%	14,69%	13,00%	10,00%	6,00%	5,00%	4,00%	3,00%	2,00%	1,50%					
Cost of sales	16792	19231	13247	11810	15012	18600	21507	24314	27717	32530	34013	35281	37143	38257	39022	39607	In a bearish view, we see Safran's growth slowing much faster than expected, and stabilizing at 1.5% on the long run. Long term maintenance contracts ensure that growth should not go negative in absence of a major crisis.				
% of revenue	79,77%	78,05%	80,29%	77,41%	78,87%	80,18%	78,73%	77,61%	78,29%	83,53%	82,40%	81,40%	82,40%	82,40%	82,40%	82,40%					
Adjusted EBITDA	4258	5409	3251	3447	4023	4599	5810	7015	7684,3009	6412,03364	7265	8062	7933	8171	8335	8460					
Depreciation and amortization	1235	1589	1565	1642	1615	1433	1691	1818	1666	1739	3137	3294	3426	3529	3599	3653					
As a % of Capex	95,74%	136,75%	197,35%	217,20%	183,73%	108,15%	109,52%	101,00%	58,82%	55,82%	95,00%	95,00%	95,00%	95,00%	95,00%	95,00%					
Adjusted operating income (EBIT)	3023	3820	1686	1805	2408	3166	4119	5197	6018	4673	4128	4768	4508	4643	4736	4807	In a bearish view, I see Safran's margins falling to the low ten digits				
Operating margin	14,36%	15,50%	10,22%	11,83%	12,65%	13,65%	15,08%	16,59%	17,00%	12,00%	10%	11,00%	10%	10%	10%	10%					
Financial Income	476	363	357	596	5163	-1958	5051	-5961	-144	-173	-100	-50	0	0	0	0					
Tax	-638	-1012	-334	-412	-557	-724	-987	-1571	-1828	-1485	-1329	-1557	-1488	-1532	-1563	-1586					
Tax rate (%)	23,70%	27,00%	27,50%	34,40%	31,40%	25,60%	23,80%	24,67%	31,12%	33,00%	33,00%	33,00%	33,00%	33,00%	33,00%	33,00%					
Adjustments and non recurring items	-880	-506	-1357	-1946	-9473	2960	-8850	9512	-150	-100	-50	-50	0	0	0	0	Adjustments should go towards 0 in the model				
Ajusted Net Income	1981	2665	352	43	-2459	3444	-667	7177	3896	2915	2649	3111	3020	3111	3173	3221					
D&A	1235	1589	1565	1642	1615	1433	1691	1818	1666	1739	3137	3294	3426	3529	3599	3653					
Changes in fair value of currency and interest r	316	-152	209	538	4207	-2161	4684	-5598	0	0	0	0	0	0	0	0					
Changes in working capial	-27	-897	-8	250	729	758	7	1071	810	257	0	0	0	0	0	0					
Other adjustments	-434	-60	-252	-37	-547	796	-982	1253	182	2058	100	50	0	0	0	0					
Cash flows from operations	3071	3145	1866	2436	3545	4270	4733	5721	6554	6969	5886	6455	6446	6639	6772	6874	Increasing to 8% instead of 5%				
Capital Expenditures	-1290	-1162	-793	-756	-879	-1325	-1544	-1800	-2832	-3115	-3302	-3467	-3606	-3714	-3789	-3845					
FCF	1781	1983	1073	1680	2666	2945	3189	3921	3722	3854	2584	2987	2840	2925	2983	3028					
Cash flows from investing	-3494	-1105	-799	-738	-1288	-1704	-1848	-3384	-1965	-2089	-200	-200	-200	-200	-200	-200					
Cash flows from financing	-2158	-1740	68	-268	-815	-2576	-3073	-2005	-3270	-3223	2384	2787	2640	2725	2783	2828					
Net change in cash	-2584	302	1115	1500	1440	-11	-162	275	1319	1657	0	0	0	0	0	0	We assume no more large investments				
Cash at the beginning of the period	4914	2330	2632	3747	5247	6687	6676	6514	6789	8108	9765	9765	9765	9765	9765	9765					
Cash at the end of the period	2330	2632	3747	5247	6687	6676	6514	6789	8108	9765	9765	9765	9765	9765	9765	9765					
																	Analysts assumptions for 2026 and 2027, and we assume that starting in 2028 Safran will give back most of the cash to shareholders through either dividends or share buybacks.				

Appendix 2 : Projective financial statements – Bull case

In M €	Historical data								Modelling								Methodology for assumptions - bullish case			
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E				
Revenue																		50/38/12 repartition between operating segments (historiquement stable but aircraft interiors going a bit up, as airlines will focus more on premium cabins)		
Aerospace propulsion	10579	12045	7663	7394	9810	12222	13976	15633	17858	20536	23206	25759	28334	30318	31834	33107				
% revenue	50,3%	48,9%	46,4%	48,5%	51,5%	52,7%	51,2%	49,9%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%	50,0%				
Equipments and defense	7942	9378	6933	6256	7700	8931	10689	12206	13929	15607	17636	19576	21534	23041	24194	25161				
% revenue	37,7%	38,1%	42,0%	41,0%	40,5%	38,5%	39,1%	39,0%	39,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%	38,0%				
Aircraft interiors	2511	3332	1924	1465	1997	2487	3041	3340	3929	4929	5569	6182	6800	7276	7640	7946				
% revenue	11,9%	13,5%	11,7%	9,6%	10,5%	10,7%	11,1%	10,7%	11,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%	12,0%				
Others (HoldCo)	18	18	20	18	16	11	10	10	10	10	10	10	10	10	10	10	We assume a mean of 10			
Total Revenue	21050	24640	16498	15257	19035	23199	27317	31329	35715	41072	46412	51517	56669	60636	63667	66214	In a bullish view, we believe than Safran could grow up to 15% in 2027, before slowing down and going towards an average of 4%.			
% growth		17,05%	-33,04%	-7,52%	24,76%	21,88%	17,75%	14,69%	14,00%	15,00%	13,00%	11,00%	10,00%	7,00%	5,00%	4,00%				
Cost of sales	16792	19231	13247	11810	15012	18600	21507	24314	27799	31940	35389	38767	43493	46538	48865	50488				
% of revenue	79,77%	78,05%	80,29%	77,41%	78,87%	80,18%	78,73%	77,61%	77,84%	77,77%	76,25%	75,25%	76,75%	76,75%	76,75%	76,25%				
Adjusted EBITDA	4258	5409	3251	3447	4023	4599	5810	7015	7916,1355	9132,01742	11023	12750	13175	14098	14803	15726				
Depreciation and amortization	1235	1589	1565	1642	1615	1433	1691	1818	1666	1739	2205	2447	2692	2880	3024	3145	D&A at roughly 95% of Capex if we exclude Covid period			
As a % of Capex	95,74%	136,75%	197,35%	217,20%	183,73%	108,15%	109,52%	101,00%	83,43%	82,73%	95,00%	95,00%	95,00%	95,00%	95,00%	95,00%				
Adjusted operating income (EBIT)	3023	3820	1686	1805	2408	3166	4119	5197	6250	7393	8818	10303	10484	11218	11778	12581				
Operating margin	14,36%	15,50%	10,22%	11,83%	12,65%	13,65%	15,08%	16,59%	17,50%	18,00%	19%	20,00%	19%	19%	19%	19%	In a bullish view, Safran's margins could reach 20% and then stabilize near 19%			
Financial Income	476	363	357	596	5163	-1958	5051	-5961	-144	-173	-100	-50	0	0	0	0	Considering the low debt and high cashflow, I assume financial income to go to 0			
Tax	-638	-1012	-334	-412	-557	-724	-987	-1571	-1994	-1891	-2180	-2563	-2621	-2804	-2945	-3145				
Tax rate (%)	23,70%	27,00%	27,50%	34,40%	31,40%	25,60%	23,80%	24,67%	31,12%	26,27%	25,00%	25,00%	25,00%	25,00%	25,00%	25,00%	Tax rate should stabilize at 25%			
Adjustments and non recurring items	-880	-506	-1357	-1946	-9473	2960	-8850	9512	-150	-100	-50	-50	0	0	0	0	Adjustments should go towards 0 in the model			
Ajusted Net Income	1981	2665	352	43	-2459	3444	-667	7177	3962	5229	6489	7640	7863	8413	8834	9435				
D&A	1235	1589	1565	1642	1615	1433	1691	1818	1666	1739	2205	2447	2692	2880	3024	3145	D&A at roughly 95% of Capex if we exclude Covid period			
Changes in fair value of currency and interest rate derivat	316	-152	209	538	4207	-2161	4684	-5598	0	0	0	0	0	0	0	0		Volatility on hedging derivatives / forex is a non-reccuring item		
Changes in working capial	-27	-897	-8	250	729	758	7	1071	810	257	0	0	0	0	0	0	Changes in working capital should go towards 0 in the model			
Other adjustments	-434	-60	-252	-37	-547	796	-982	1253	116	-256	100	50	0	0	0	0	Adjustments should go towards 0 in the model			
Cash flows from operations	3071	3145	1866	2436	3545	4270	4733	5721	6554	6969	8793	10137	10555	11293	11858	12581				
Capital Expenditures	-1290	-1162	-793	-756	-879	-1325	-1544	-1800	-1997	-2102	-2321	-2576	-2833	-3032	-3183	-3311	Stabilizing at 5% turnover			
FCF	1781	1983	1073	1680	2666	2945	3189	3921	4563	4939	6473	7561	7721	8262	8675	9270				
Cash flows from investing	-3494	-1105	-799	-738	-1288	-1704	-1848	-3384	-1965	-2089	-200	-200	-200	-200	-200	-200	We assume no more large investments			
Cash flows from financing	-2158	-1740	68	-268	-815	-2576	-3073	-2005	-3270	-3223	6273	7361	7521	8062	8475	9070				
Net change in cash	-2584	302	1115	1500	1440	-11	-162	275	1319	1657	0	0	0	0	0	0	Analysts assumptions for 2026 and 2027, and we assume that starting in 2028 Safran will give back most of the cash to shareholders through either dividends or share buybacks.			
Cash at the beginning of the period	4914	2330	2632	3747	5247	6687	6676	6514	6789	8108	9765	9765	9765	9765	9765	9765				
Cash at the end of the period	2330	2632	3747	5247	6687	6676	6514	6789	8108	9765	9765	9765	9765	9765	9765	9765				

Appendix 3: Revenue and margin breakdown by operating segment

Revenue per activity														
	Historical data								Base case model					
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Propulsion	10579	12045	7663	7394	9810	12222	13976	15633	17795	19520	21471	22974	24123	24606
Equipments and defense	7942	9378	6933	6256	7700	8931	10689	12206	13880	14835	16318	17461	18334	18700
Aircraft interiors	2511	3332	1924	1465	1997	2487	3041	3340	3915	4685	5153	5514	5790	5905
Total	21032	24755	16520	15115	19507	23640	27706	31179	35589	39039	42943	45949	48246	49211

Operating income per activity														
	Historical data								Base case model					
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Propulsion	2030	2485	1192	1342	1710	2390	2819	3600	4169	4589	5368	5744	5790	5659
Equipments and defense	992	1209	687	650	874	992	1298	1565	1893	2175	2285	2619	2750	2618
Aircraft interiors	81	188	-174	-167	-140	-116	27	108	160	241	361	441	521	531
HoldCo and others	-80	-62	-19	-20	-36	-100	-25	-76	-80	-80	-80	-80	-80	-80
Total adjusted Op Income	3023	3820	1686	1805	2408	3166	4119	5197	6162	6962	7933	8724	8981	8729
											7730	8730	8926	8858

Operating income margins per activity, per year														
	Historical data								Base case model					
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Propulsion	18,50%	20,60%	15,60%	18%	18%	20,10%	20,60%	23%	23,16%	23,30%	25%	25%	24%	23%
Equipments and defense	14,30%	13,10%	10%	10,30%	11,60%	11,20%	12,20%	12,70%	13,16%	13,88%	14%	15%	15%	14%
Aircraft interiors	3,20%	5,70%	-9,10%	-11,30%	-7,10%	-4,70%	0,90%	3,20%	4,83%	6,66%	7%	8%	9%	9%
Total	14,40%	15,50%	10,20%	11,80%	12,60%	13,60%	15,10%	16,60%	17,32%	17,83%	18,66%	19,16%	18,78%	17,90%

CFM maintenance and LEAP ramp-up will deliver higher margins in the next few years. Increased defence spending worldwide should increase defence margins, and airline's trend towards better premium cabin should contribute to higher margins in the aircraft interiors division.

Appendix 4: WACC calculation and EV to EqV bridge

WACC calculation	
<i>Market Cap</i>	€124,9B
<i>R_f</i>	3%
<i>Beta</i>	1,05
<i>R_m - R_f</i>	5%
<i>Cost of equity</i>	8,25%
<i>Total debt</i>	€6,5B
<i>Cost of debt</i>	4%
<i>Tax rate</i>	25%
WACC	7,99%

Equity bridge calculation	
<i>Cash & cash equivalents</i>	€ 6789 M
<i>Investments in equity-accounted companies</i>	€ 1892 M
<i>Total debt</i>	€ -5051 M
<i>Lease liabilities</i>	€ -135 M
<i>Pensions</i>	€ -679 M
<i>Minority interests</i>	€ -622 M
Total equity bridge :	€ 2194 M

Appendix 5: DCF valuation details and sensitivity analysis

WACC : 7,99%

Bearish case	Year	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2031E
	FCF	3921	3722	3854	2584	2987	2840	2925	2983	2925
	Duration (mid year convention)		0,50	1,50	2,50	3,50	4,50	5,50	6,50	7,50
	Discounted value		3582	3434	2132	2283	2009	1916	1810	1643

Terminal FCF	2925
Terminal growth	1,50%
PV of Terminal value	25321

Discounted Cashflows :	17166	
Total EV :	42487	Price per share :
Total EqV after bridge :	44681	106,80

WACC : 7,99%

Base case	Year	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2031E
	FCF	3921	4563	5206	6056	7061	7666	7967	8121	7985
	Duration (mid year convention)		0,50	1,50	2,50	3,50	4,50	5,50	6,50	7,50
	Discounted value		4391	4639	4997	5395	5424	5220	4927	4486,54

Terminal FCF	7985
Terminal growth	2,50%
Terminal value	81718

Discounted Cashflows :	34994	
Total EV :	116712	Price per share :
Total EqV after bridge :	118906	284,23

WACC : 7,99%

Bullish case	Year	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2031E
	FCF	3921	4563	4939	6473	7561	7721	8262	8675	8262
	Duration (mid year convention)		0,50	1,50	2,50	3,50	4,50	5,50	6,50	7,50
	Discounted value		4391	4401	5341	5778	5463	5413	5263	4642

Terminal FCF	8262
Terminal growth	4,00%
Terminal value	116325

Discounted Cashflows :	36050	
Total EV :	152375	Price per share :
Total EqV after bridge :	154569	369,48

WACC		Terminal growth rate				
		0,50%	1%	1,50%	2%	2,50%
	7,00%	112,20	117,59	123,97	131,62	140,98
	7,50%	104,91	109,38	114,59	120,75	128,14
	7,99%	98,72	102,47	106,80	111,86	117,83
	8,50%	93,10	96,26	99,87	104,04	108,90

WACC		Terminal growth rate				
		1,50%	2%	2,50%	3,00%	3,50%
	7,00%	300,66	321,56	347,09	379,01	420,06
	7,50%	275,22	292,04	312,21	336,87	367,70
	7,99%	254,13	267,93	284,23	303,80	327,73
	8,50%	235,39	246,76	260,03	275,72	294,54

WACC		Terminal growth rate				
		3,00%	4%	4,00%	4,50000%	5,00%
	7,00%	391,59	434,05	490,67	569,93	688,82
	7,50%	347,98	379,87	420,88	475,55	552,08
	7,99%	313,76	338,52	369,48	409,31	462,47
	8,50%	284,70	304,17	327,97	357,72	395,97

Appendix 6: Comparative analysis details

Total bridge to add to get EV:	2194
Total number of shares:	418344626

In B€		Current year estimates							Next year estimates			
Name	Ticker	Mkt Cap	Net Debt	Entreprise Va	EBITDA	EV/EBITDA	Net Income	E PE ratio	EBITDA	EV/EBITDA	Net Income	E PE ratio
Safran SA	SAF FP	125,71	-1,71	124	7,72	16,06	4,11	27,81	8,57	14,47	5,14	24,45
General Electric	GE US	253,84	8,05	261,89	9,95	26,32	7,08	33,19	11,24	23,30	7,65	33,19
RTX Corp	RTX US	197,57	27,83	225,4	12,89	17,49	8,24	22,84	13,98	16,12	8,65	22,84
Rolls-Royce Holdings PLC	RR/ LN	128,6	-2,26	126,34	5,65	22,36	3,75	30,55	6,33	19,96	4,21	30,55
MTU Aero Engines AG	MTX GR	49,45	0,841	50,291	1,78	28,25	1,03	16,61	1,92	26,19	3,16	15,65
Thales SA	HO FP	17,12	1,4	18,52	3,99	4,64	2,26	19,96	4,41	4,20	0,86	19,96
Median		127,16	1,12	128,28	6,69	19,17	4,11	25,94	7,45	17,22	5,38	23,64

	Current year, EV/Ebitda			Current year, PE ratio			Next year, EV/ebitda			Next year, PE ratio		
	Ratio	Corresponding EV for Safran	Corresponding share price	Ratio	Corresponding EV for Safran	Corresponding share price	Ratio	Corresponding EV for Safran	Corresponding share price	Ratio	Corresponding EV for Safran	Corresponding share price
High	28,25	220,31	526,62	33,19	138,60	331,32	33,19	286,63	685,16	33,19	172,84	413,15
Median	19,17	150,22	359,09	23,64	99,35	237,49	25,94	224,50	536,64	23,64	123,74	295,78
Low	4,64	38,03	90,90	15,65	66,52	159,00	16,61	144,54	345,51	15,65	82,66	197,59

Appendix 7: Detailed broker estimates

Broker	date	Opinion	Target Price	Upside potential
VRP	05/05/2026	Buy	345,00 €	15,38%
Wells Fargo	01/05/2026	Overweight	325,00 €	8,70%
Sadif	30/04/2026	Strong buy	369,25 €	23,49%
Grupo Santander	29/04/2026	Outperform	350,00 €	17,06%
DZ Bank	29/04/2026	Buy	378,00 €	26,42%
Bernstein	27/04/2026	Outperform	350,00 €	17,06%
RBC Capital	24/04/2026	Outperform	370,00 €	23,75%
UBS	24/04/2026	Neutral	310,00 €	3,68%
Jefferies	24/04/2026	Hold	310,00 €	3,68%
R&Co Redburn	24/04/2026	Buy	395,00 €	32,11%
Oxcap Analytics	24/04/2026	Equalweight	300,00 €	0,33%
Morgan Stanley	23/04/2026	Equalweight+	330,00 €	10,37%
Citi	23/04/2026	Neutral	342,00 €	14,38%
CIC	23/04/2026	Neutral	330,00 €	10,37%
Oddo BHF	23/04/2026	Neutral	315,00 €	5,35%
Berenberg	23/04/2026	Buy	360,00 €	20,40%
Morningstar	23/04/2026	Buy	367,00 €	22,74%
BNP Paribas	23/04/2026	Neutral	320,00 €	7,02%
Barclays	23/04/2026	Overweight	330,00 €	10,37%
Alphavalue	23/04/2026	Add	328,00 €	9,70%
Mean target price :			341,21 €	14,12%

Current price :

296,70 €

As of the 6th of May 2026. Only opinions published after the Q1 2026 results were considered.

Appendix 8: Target price calculation details

Method	Value	Weight	Explanation
<i>DCF - base</i>	284,23	20%	An anchor for valuation, as the most likely scenario based on the current market consensus.
<i>DCF - bullish</i>	369,48	5%	A lower weight to remain conservative, accounting for potential faster-than-expected recovery of margins.
<i>DCF - bearish</i>	106,80	5%	A lower weight to act as a stress test, and account the tail risks such as geopolitical disruptions to global air traffic.
<i>Multiples (PE)</i>	309,94	20%	A 20% weight to reflect the potential rerating of Safran towards a 27x/28x P/E ratio, as explained in the presentation. It should increase as earnings grow.
<i>Multiples (EV/Ebitda)</i>	403,86	20%	A 20% weight of this method to reflects Safran's best in class FCF conversion, so it makes sense to weight it.
<i>Broker estimates</i>	341,21	20%	I use broker's target prices to align my target price with the market's expectations and lower the risk of error.
<i>Current stock price</i>	296,70	10%	A 10% value to anchor the target price to the current trading reality and lower the risk of error.
Final target price	321,33	100%	

Appendix 9: Short-term share price graph

